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FEDERAL REGISTER

VOLUME 4 NUMBER 241

Washington, Thursday, December 14, 1939

The President

EXECUTIVE ORDER

AMENDMENT OF SECTION 2 (b) OF CIVIL SERVICE RULE VII

By virtue of the authority vested in me by the Civil Service Act (22 Stat. 403) and by section 1753 of the Revised Statutes of the United States (U.S.C., title 5, sec. 631), it is ordered that the first sentence of the first paragraph of section 2 (b) of Civil Service Rule VII [1] be, and it is hereby, amended to read as follows:

"(b) *Selections.* The nominating or appointing officer shall make selections for the first vacancy from not more than the highest three persons certified, or from the register, with sole reference to merit and fitness, unless objection shall be made and sustained by the Commission, to one or more of the persons certified, for any of the reasons stated in Rule V, section 3, or in the case of highly confidential positions in the State, War, and Navy Departments for such other reasons as may be approved by the Commission."

FRANKLIN D ROOSEVELT

THE WHITE HOUSE,
December 12th, 1939.

[No. 8300]

[F. R. Doc. 39-4615; Filed, December 12, 1939; 3:30 p. m.]

EXECUTIVE ORDER

AUTHORIZING AND DIRECTING CARROLL L. WILSON, SPECIAL ASSISTANT TO THE SECRETARY OF COMMERCE, TO ACT AS DIRECTOR OF THE BUREAU OF FOREIGN AND DOMESTIC COMMERCE DURING THE SICKNESS OR ABSENCE OF THE DIRECTOR

Under the authority vested in me by section 179 of the Revised Statutes (U.S.C., title 5, sec. 6), I hereby authorize and direct Carroll L. Wilson, Special Assistant to the Secretary of Commerce, to perform the duties of the Director of the Bureau of Foreign and Domestic Commerce during the sickness or absence of the Director of the said Bureau.

This order shall cease to be effective at the close of May 31, 1940.

FRANKLIN D ROOSEVELT

THE WHITE HOUSE,
December 12, 1939.

[No. 8301]

[F. R. Doc. 39-4618; Filed, December 13, 1939; 10:13 a. m.]

[1] 3 F.R. 1522 DI.

Rules, Regulations, Orders

TITLE 7—AGRICULTURE

CHAPTER 6—SOIL CONSERVATION SERVICE

PART 601—LAND UTILIZATION PROGRAM UNDER THE BANKHEAD-JONES FARM TENANT ACT

RULES AND REGULATIONS FOR THE PROTECTION OF LANDS ACQUIRED UNDER, OR TRANSFERRED FOR ADMINISTRATION UNDER TITLE III

Pursuant to the provisions of Section 32 (f), Title III, of the Bankhead-Jones Farm Tenant Act, approved July 22, 1937 (50 Stat. 522, 526), I, H. A. Wallace, Secretary of Agriculture, do hereby establish the following rules and regulations for the protection of lands acquired under or transferred for administration under Title III of the said Bankhead-Jones Farm Tenant Act, which supersede the rules and regulations established for the protection of such lands on the 17th day of August, 1938.

§ 601.20 *Chief of Soil Conservation Service to issue instructions.* The Chief of the Soil Conservation Service and his designees are hereby authorized and directed to issue such instructions to the officers and employees of the Soil Conservation Service, or other employees of the Department of Agriculture who may have duties with respect to such lands, as may be necessary to enforce these rules and regulations.

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FEDERAL REGISTER

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§ 601.21 *Prohibited acts on lands acquired under or transferred to title III.* The following acts are prohibited on all lands acquired under or transferred for administration under Title III of the Bankhead-Jones Farm Tenant Act:

(1) To graze or drive any livestock upon or across such lands without an agreement or permit.

(2) To graze or drive any livestock upon or across such lands in violation of the terms of an agreement or permit.

(3) To allow livestock to drift and graze upon such lands without an agreement or permit.

(4) To graze livestock in an area closed to grazing or to graze a particular class of livestock in an area closed to that class.

(5) To fail, refuse, or neglect to remove livestock grazed under an agreement or permit, upon receipt of notice that such livestock are to be removed because such lands are being injured by improper handling of such livestock.

(6) To tear, remove, or deface, willfully, any notice which the Department of Agriculture, or the non-Federal agency to which the lands have been entrusted for use and management, has placed on such lands.

(7) To destroy, molest, disturb, injure, or remove, or to go upon such lands with intent to destroy, molest, disturb, injure, or remove, property or appurtenances thereto, located on such lands, belonging to the United States or to the non-Federal agency to which the lands have been entrusted for use and management.

(8) To mutilate, deface, or destroy, to attempt to mutilate, deface, or destroy, or to go upon such lands with intent to mutilate, deface, or destroy, any objects of natural beauty or of scenic value located thereon.

(9) To occupy or in any way make use of such lands or appurtenances thereto or property located thereon without an agreement or a permit when such an agreement or permit is required.

(10) To occupy or use such lands or appurtenances thereto or property located thereon in a manner which violates the terms of an agreement or permit.

(11) To construct or maintain any kind of works, structures, fences, or enclosures, or to conduct any kind of business enterprise or carry on any kind of work, on such lands, without a permit.

(12) To have or leave camp refuse or debris of any description upon such lands in an exposed or insanitary condition, or to deposit in or near any stream, lake, reservoir, or other waters on such lands, substances which pollute or are likely to pollute the said streams, lake, reservoir, or waters.

(13) To set on fire or cause to be set on fire, willfully, recklessly, or negligently, any timber, brush, or grass on such lands, or to leave a camp fire on such lands without completely extinguishing it. However, this regulation shall not be construed to prohibit the kindling of such fires as may be authorized by permit.

(14) To throw or place a burning cigarette, cigar, match, pipe heel, or any ignited substance in any place where it may start a fire.

(15) To post, distribute or display any private notices or advertisements, excepting such as may be deemed necessary for the convenience and guidance of the public.

(16) To cut, kill, destroy, girdle, chip, box, or otherwise damage, or to remove any timber, posts, or other forest products, except as authorized by permit.

(17) To camp without a special permit on areas which are specifically excepted from such use.

(18) To occupy public camp grounds, cabins, lodges, and other recreational facilities established upon such lands, without an agreement or permit when such an agreement or permit is required.

(19) To discharge firearms in, over, or in the vicinity of public camp grounds, group camps, recreational grounds and areas, or over lakes or other bodies of water adjacent to or within such areas, or to expose any person or livestock anywhere on such lands to injury by the discharge of firearms.

(20) To intimidate, threaten, assault, or otherwise interfere with any person on such lands while such person is engaged in the protection, improvement, or administration thereof.

(21) To go or be upon such lands or in or on the waters thereof with intent to hunt, catch, trap, disturb, or kill any kind of game or non-game animal, game or non-game bird or fish, or to take the eggs of any such bird, when posted against hunting, fishing, or trapping, or when in violation of the laws of the United States or any regulation made in pursuance thereof, or of the laws of the respective States in which such lands or waters are situated.

The following acts are prohibited on such lands acquired under or transferred for administration under Title III of the Bankhead-Jones Farm Tenant Act as are or may be embraced within the boundaries of a national game or bird refuge, preserve, sanctuary, or reservation, established by or under authority of an Act of Congress; or embraced within the boundaries of any inviolate State game or bird refuge, preserve, sanctuary or reservation; or embraced within the boundaries of any established controlled hunting, fishing, or trapping area:

(22) To carry or have possession of firearms without permit.

(23) To hunt, trap, catch, disturb, or kill any kind of game or non-game animal, game or non-game bird, or to take on such lands the eggs of any such bird, or to fish, except when authorized by permit.

The following acts are prohibited on such lands acquired under or transferred for administration under Title III of the Bankhead-Jones Farm Tenant Act as are or may be designated recreational areas by appropriate posting:

(24) To discharge firecrackers or fireworks of any kind, except with written permission.

(25) To operate gambling devices or conduct games of chance of any kind whatsoever, whether for merchandise, cash prizes, or prizes of any other kind.

(26) To conduct oneself in a disorderly or obnoxious manner.

(27) To permit any dog or cat to roam at large.

(28) To engage in or solicit business, except under a permit or a concession.

(29) To build a fire anywhere except in a designated fireplace. Definitions. As used in these rules and regulations—

(1) "Agreement" or "permit", (a) in cases where lands *have not* been entrusted by the Secretary of Agriculture to a non-Federal agency for use and management, refer to an agreement or permit executed by the Secretary of Agriculture or his duly authorized representative, and, (b) in cases where the lands *have* been entrusted by the Secretary of Agriculture to a non-Federal agency for use and management, they refer to an agreement or permit executed by such agency, or its duly authorized representative.

(2) "Notice", (a) in cases where lands *have not* been entrusted by the Secretary of Agriculture to a non-Federal agency for use and management, refers to a notice given by the Secretary of Agriculture or his duly authorized representative and (b) in cases where the lands *have* been entrusted by the Secretary of Agriculture to a non-Federal agency for use and management, it refers to a notice given by such agency, or its duly authorized representative.

§ 601.22 *Penalty.* Under the terms of Section 32 (f), Title III, of the Bankhead-Jones Farm Tenant Act, any viola-

tion of the foregoing rules and regulations is punishable as prescribed in Section 5388 of the Revised Statutes, as amended (U.S.C., 1934 ed., Title 18, Sec. 104).

In Testimony Whereof, I have hereunto set my hand and official seal this 12th day of December, 1939.

[SEAL] H. A. WALLACE,
Secretary of Agriculture.

[F. R. Doc. 39-4612; Filed, December 12, 1939; 2:03 p. m.]

TITLE 9—ANIMALS AND ANIMAL PRODUCTS

CHAPTER I—BUREAU OF ANIMAL INDUSTRY

[Amendment 38 to Declaration No. 12 [1]]

DECLARING NAMES OF COUNTIES PLACED IN MODIFIED TUBERCULOSIS-FREE ACCREDITED AREAS

DECEMBER 1, 1939.

In accordance with Section 2 of Regulation 7 of B. A. I. Order 309, as amended effective September 10, 1936, the following named counties, having completed the necessary retests for re-accreditation, are hereby continued in the status of "Modified Accredited Areas" until the date given opposite each county named.

Arkansas: Clay, December 1, 1942; Lonoke, December 1, 1942.

California: San Bernardino, December 1, 1942.

Florida: Glades, December 1, 1942.

Idaho: Boise, December 1, 1942; Fremont, December 1, 1942; Jerome, December 1, 1942; Shoshone, December 1, 1942; Valley, December 1, 1942.

Illinois: Fayette, December 1, 1945.

Indiana: Clark, December 1, 1942; Daviess, December 1, 1942; Wayne, December 1, 1942.

Iowa: Black Hawk, December 1, 1942; Guthrie, December 1, 1942.

Kansas: Cheyenne, December 1, 1942; Doniphan, December 1, 1942.

Kentucky: Henderson, December 1, 1942; Hickman, December 1, 1942; Spencer, December 1, 1942; Whitley, December 1, 1942.

Maine: Franklin, December 1, 1942; Hancock, December 1, 1942.

Maryland: Harford, December 1, 1942.

Michigan: Berrien, December 1, 1942; Iosco, December 1, 1942; Ogemaw, December 1, 1942.

Minnesota: Dodge, December 1, 1942.

Missouri: Franklin, December 1, 1942; Jefferson, December 1, 1942; Johnson, December 1, 1942; St. Louis, December 1, 1942; Saline, December 1, 1942.

Nebraska: Arthur, December 1, 1942; McPherson, December 1, 1942; Thomas, December 1, 1942; York, December 1, 1942.

[1] Supplements footnote to 9 CFR 77.3.

Nevada: Lander, December 1, 1942.

New York: Cayuga, December 1, 1942; Saratoga, December 1, 1942.

North Carolina: Avery, December 1, 1942; McDowell, December 1, 1942; Yadkin, December 1, 1942.

North Dakota: Burleigh, December 1, 1945; Divide, December 1, 1945; Grand Forks, December 1, 1945; McLean, December 1, 1945; Richland, December 1, 1945; Stark, December 1, 1945.

Oklahoma: Lincoln, December 1, 1942.

South Carolina: Lancaster, December 1, 1942; Saluda, December 1, 1942.

Tennessee: Sevier, December 1, 1942; Weakley, December 1, 1942.

Texas: Bosque, December 1, 1942; Hood, December 1, 1942; Parker, December 1, 1942; Somervell, December 1, 1942; Starr, December 1, 1942; Zapata, December 1, 1942.

Utah: Grand, December 1, 1942; San Juan, December 1, 1942.

Virginia: Amelia, December 1, 1942; Brunswick, December 1, 1942; Princess Anne, December 1, 1942.

West Virginia: Randolph, December 1, 1942.

Wisconsin: Richland, December 1, 1942.

Puerto Rico: Cabo Rojo, December 1, 1942.

Declaration No. 12, dated October 1, 1936, as amended, is hereby further amended accordingly.

[SEAL] W. M. MACKELLAR,
Acting Chief of Bureau.

[F. R. Doc. 39-4622; Filed, December 13, 1939; 12:31 p. m.]

TITLE 25—INDIANS

CHAPTER I—OFFICE OF INDIAN AFFAIRS

SUB-CHAPTER L—IRRIGATION PROJECTS, OPERATION AND MAINTENANCE

Sub-chapter L is supplemented by adding thereto:

PART 129—REGULATIONS GOVERNING GRANTING OF CONCESSIONS ON RESERVOIR SITES, CANAL RESERVES, FLOWAGE AREAS AND OTHER WITHDRAWN AND ACQUIRED LANDS IN CONNECTION WITH FEDERAL INDIAN IRRIGATION PROJECTS AND THE LEASING OF SUCH LANDS FOR AGRICULTURAL, GRAZING AND OTHER PURPOSES

DECEMBER 1, 1939.

Pursuant to the authority of the Act of April 4, 1938 (52 Stat. 193), the following regulations are promulgated governing the granting of concessions, business, agricultural and grazing leases or permits on reservoir sites, reserves for canals or flowage areas, and other lands withdrawn or otherwise acquired in connection with the San Carlos, Fort Hall, Flathead and Duck Valley or Western Shoshone Irrigation projects.

§ 129.1 *Terms used.* When used in this part "Secretary" refers to the Secretary of the Interior; "project" to the Federal Indian irrigation project on which concession, lease or permit is granted, and "Project Engineer" to the engineer in charge of said project.

§ 129.2 *Project Engineer's authority.* The Project Engineer is the official charged with the responsibility for the enforcement of this part. He is vested with the authority to issue temporary concession permits to applicants for periods not to exceed thirty days. All except temporary permits shall become effective when approved by the Secretary.

§ 129.3 *Enforcement.* The Project Engineer shall enforce these and all project regulations now or hereafter promulgated by the Secretary. Willful violation or failure to comply with the provisions of this part and all proper orders of the Project Engineer shall be cause for revocation of the permit by the Secretary who shall be the judge of what constitutes such violation. The Project Engineer may suspend any permit for cause. The Project Engineer shall, immediately after suspending a permit, submit to the Secretary through the Commissioner of Indian Affairs a detailed report of the case, accompanied by his reasons for the action and his recommendations, for final action by the Secretary.

§ 129.4 *Permits subject to existing and future rights of way.* Use by the permittee of any land authorized under this part shall be subject to the right of the Secretary to establish trails, roads and other rights of way including improvements thereupon or through the premises, and the right to use same by the public. No interference shall be permitted with the continued use of all existing roads, trails and other rights of way and improvements thereon.

§ 129.5 *Plans, approval thereof.* No building or other structure shall be erected by permittee except in accordance with plans, specifications and locations approved by the Project Engineer. All permits and appurtenances shall be kept in a sanitary, safe and sightly condition.

§ 129.6 *Stock grazing.* Permittees may graze upon lands covered by such permits, such stock as may be required in connection with the purposes for which the permit is issued subject to such restrictions and limitations as may be prescribed by the Project Engineer.

§ 129.7 *Permits, transferable.* Permits may be transferred only with the approval of the Secretary.

§ 129.8 *Applications.* All applications for permits must be made on the approved form. The Project Engineer will furnish copies of this form upon request. All applications must be executed in triplicate.

§ 129.9 *Bonds.* Except in cases of temporary concession permits, leases, permits, and traders' licenses granted

under Parts 71, 171, and 276, which are governed by the requirements of those parts, the applicant shall within sixty days after approval of the application furnish a surety bond for the faithful performance of the terms of the permit in an amount equal to the total sum accruing during the period of the permit. Such bond shall be executed by an approved surety company, or by at least three individual sureties, whose individual unencumbered assets are equal to double the amount of the bond. In the case of temporary concession permits, the permittee shall deposit at the time of receiving the permit, a sum equal to twice the rental, which sum shall, upon the expiration of the permit, be refunded to the permittee, if all the terms and conditions of the permit have been met; otherwise, such sum shall be retained as liquidated damages.

§ 129.10 *Payments.* Each permittee shall pay at the time of receiving the permit the first year's charge as fixed therein. When a permit extends over a period of years, the next and succeeding payments shall be due and payable annually in advance. The full amount accruing under a temporary permit shall be paid at the time the application is filed.

§ 129.11 *Supervision of permittees' rates.* All rates or charges collected by a permittee for services rendered by the permittee in the operation of the concession granted under a permit, must be submitted through the Project Engineer to the Secretary for approval. Copies of the approved rate schedule shall be posted in at least two conspicuous places on the premises. Approved rates may not be changed without first obtaining in the same manner a change in the rate schedule. The Secretary shall have the right to readjust rates charged from time to time and to amend or change any permit issued. Failure to comply with the approved rates automatically makes the permit subject to cancellation.

§ 129.12 *Services from project.* When the facilities of the project make it possible to supply water for domestic purposes, electricity or any other type of service to the permittee, the cost of connecting the project facilities shall be borne by the permittee and the work must be in accordance with standard practices and accepted by the Project Engineer, and as provided for in project regulations. All services rendered by the project to the permittee shall be paid for at the existing or modified schedule of rates; or if no schedule has been approved, at a rate to be approved by the Secretary which will reasonably reimburse the project for the cost of such services.

§ 129.13 *Permit not a lease.* Any permit issued hereunder does not grant any leasehold interest nor cover the sale, barter, merchandising, or renting of any supplies or equipment except as therein specified. Any permittee who engages in trade with the Indians must also apply for and receive a trader's license as provided by Part 276.

§ 129.14 *Further requirements authorized.* The Project Engineer is authorized to incorporate into any proposed permit to meet the needs of any particular case, subject to the approval of the Secretary, such further special requirements as may be agreed upon by him and the applicant, such requirements to be consistent with the general purposes of this part.

§ 129.15 *Permittee subject to State law.* The holder of any permit issued hereunder shall be subject to and abide by the laws and regulations of the United States and State laws if applicable to the conduct of the particular business or activity conducted by the permittee. Violations of this section shall render the permit void but shall not release the permittee from any obligations arising thereunder.

§ 129.16 *Reserved area, Coolidge Dam.* No permit for any commercial business or other activity (except boating concessions confined to the Soda Spring Canyon) shall be issued to any applicant to operate within a radius of three-fourths (¾) of a mile from the center of the Coolidge Dam, Arizona.

§ 129.17 *Agricultural and grazing leases.* Agricultural leases covering the areas dealt with in the Act of April 4, 1938 (52 Stat. 193) shall be made in compliance with the requirements of Part 71, and grazing leases or permits shall be made in compliance with the requirements of Part 171. Lands leased pursuant to the terms and conditions of this part shall not be eligible for benefit payments under the provisions and conditions of the Crop Control and Soil Conservation Act of April 27, 1935 (49 Stat. 163) as amended by the Act of February 29, 1936 (49 Stat. 1148) and subsequent acts amendatory thereof.

§ 129.18 *Term and renewal of permits.* No concession granted under the provisions of this part shall extend for a period in excess of 10 years. An application for the renewal of a lease, permit, or concession permit shall be treated in the same manner as an original application under this part. Should there be an application or applications other than the renewal application for a permit covering the same area, the renewal application may, if the applicant has met all the requirements of the expiring permit and has been a satisfactory permittee, be given preferential consideration for the renewal of the permit should the applicant meet the highest and most satisfactory offer contained in the several applications.

§ 129.19 *Improvements.* Title to improvements constructed on the premises by the permittee shall be fixed and determined by the terms of the permit.

§ 129.20 *Revocation of permits.* Any permit issued pursuant to this part may be revoked at any time within the discretion of the Secretary. Agricultural and grazing leases dealt with in Section 129.17 shall be subject to cancellation as provided for in the respective Parts 71 and 171, and the conditions of the instruments executed pursuant thereto.

§ 129.21 *Notice to vacate.* A permittee shall within ten days after notification in writing of the cancellation of his permit by the Secretary, vacate the premises covered by the said permit. Any person occupying lands dealt with in the Act of April 4, 1938 (52 Stat. 193) without an approved permit or lease shall be notified in writing by the Project Engineer of the requirements of this part and that for the failure of such person to comply with these requirements and receive a permit or lease within sixty days after receipt of the written notice shall constitute a willful violation of this part, and the Project Engineer shall submit promptly to the Commissioner of Indian Affairs a detailed report concerning the case, together with recommendations, looking to the taking of appropriate legal action to remove such person from the area and to the collection of such funds to compensate for any use made of the property or damages suffered thereto.

§ 129.22 *Disposition of revenue.* Funds derived from concessions or leases under this part except those so derived from Indian tribal property withdrawn for irrigation purposes and for which the tribe has not been compensated, shall be available for expenditure under existing law in the operation and maintenance of the irrigation project on which collected and as provided for in Part 130. Funds so derived from Indian tribal property withdrawn for irrigation purposes and for which the tribe has not been compensated, shall be deposited to the credit of the proper tribe.

§ 129.23 *Organized tribes.* Concessions and leases on tribal lands withdrawn or reserved for the purposes specified in the Act of April 4, 1938 (52 Stat. 193) and dealt with in this part, of any Indian tribe organized under Section 16 of the Act of June 18, 1934 (48 Stat. 984) for which the tribe has not been compensated shall be made by the organized tribe pursuant to its constitution or charter provided no lease or concession so made shall be inconsistent with the primary purpose for which the lands were reserved or withdrawn.

OSCAR L. CHAPMAN,
Assistant Secretary.

UNITED STATES DEPARTMENT OF THE INTERIOR
OFFICE OF INDIAN AFFAIRS

No. _____
Year _____

_____ PROJECT

_____
(State)

Application for Special Use Permit

The undersigned, _____ of
(Name of applicant)
_____, hereby requests authority
(Address)
during the term of _____, from _____,
19__ to _____, 19__, to _____

(describe fully activity to be conducted) in the following described area of the _____, of the _____ Project, _____:

It is agreed and understood that all rights which may be acquired by the permittee named herein upon proper approval of this application are subject to the Regulations of the Department of the Interior governing the issuance of this permit, approved Dec. 1, 1939, and such other and further special provisions as may be agreed to and which appear on the reverse side hereof.

Consideration to the _____ Project for the privileges to be granted hereby shall be at the rate of $_____ per _____, payable in advance to the _____, U. S. Indian Service, _____, _____, by express or postal money order, certified check, or legal currency.

The following improvements contemplated to be placed on the area covered by the permit may be removed by the permittee within 60 days after the expiration of the permit _____[1]

(Describe all improvements)

The following improvements to be placed on the area covered by the permit shall become the property of the project: _____[1]

(Describe all improvements)

Removal of improvements will in no event be permitted in cases where the permittee has failed to meet his obligations under the permit, pending the settlement of such obligations.

_____
(Applicant)

Permit issued:

_____
(Project Engineer)

Approved:

OSCAR L. CHAPMAN,
Assistant Secretary of the Interior.

Form approved, December 1, 1939.

[F. R. Doc. 39-4616; Filed, December 13, 1939; 9:23 a. m.]

Notices

DEPARTMENT OF THE INTERIOR.

Bituminous Coal Division.

[General Docket No. 12]

IN THE MATTER OF PRESCRIBING DUE AND REASONABLE MAXIMUM DISCOUNTS OR PRICE ALLOWANCES BY CODE MEMBERS TO "DISTRIBUTORS" UNDER SECTION 4, PART II (h) OF THE BITUMINOUS COAL ACT OF 1937, AND ESTABLISHING RULES AND REGULATIONS FOR THE MAINTENANCE AND OBSERVANCE BY DISTRIBUTORS IN THE RESALE OF COAL, OF THE PRICES AND MARKETING RULES AND REGULATIONS PROVIDED BY SECTION 4 OF THE ACT

PROCEDURE IN RESPECT TO DETERMINATION OF PROCEEDINGS IN GENERAL DOCKET NO. 12, IN THE MATTER OF ESTABLISHMENT OF DUE AND REASONABLE MAXIMUM DISCOUNTS OR PRICE ALLOWANCES BY CODE MEMBERS TO "DISTRIBUTORS"

Reference is made to the order today entered in General Docket No. 15, amending an order of July 19, 1939.[2] In view of the memoranda set out therein,

It is ordered, That the proceedings in General Docket No. 12, instituted pursuant to the order of November 3, 1939,[3] shall be subject to the following procedure:

"Exceptions to the findings, conclusions and order of the Director may be filed with the Secretary of the Interior, Interior Building, Washington, D. C., within ten days after the issuance of such findings, conclusions and order. Three copies of such exceptions shall be filed, together with three copies of any supporting briefs. Such exceptions and briefs may be those submitted to the Director, in whole or in part, together with any supplemental exceptions or briefs which may be desired."

Dated, December 8, 1939.

[SEAL] H. A. GRAY,
Director.

Approved, December 8, 1939.

HAROLD L. ICKES,
Secretary of the Interior.

[F. R. Doc. 39-4613; Filed, December 12, 1939; 3:00 p. m.]

[General Docket No. 15]

IN THE MATTER OF THE ESTABLISHMENT OF MINIMUM PRICES AND MARKETING RULES AND REGULATIONS, MINIMUM PRICES AS COORDINATED FOR DISTRICTS NOS. 1 TO 20, INCLUSIVE, 22 AND 23

AN ORDER AMENDING AN ORDER DATED JULY 19, 1939, PERTAINING TO PROCEDURE IN RESPECT TO FINAL HEARINGS IN THE MATTER OF ESTABLISHMENT OF MINIMUM PRICES FOR COALS PRODUCED IN DISTRICTS NOS. 1 TO 20, INCLUSIVE, 22 AND 23

The following communication was sent to the Secretary of the Interior by the Director of the Bituminous Coal Division:

"As you know, the hearings on General Docket No. 15, relating to the establishment of minimum prices and marketing rules and regulations under the Bituminous Coal Act of 1937, are drawing to a close. The findings and recommendations of the trial examiners will be forthcoming shortly.

"My order of July 19, 1939,[4] made pursuant to Order No. 1399[5] issued by you on July 5, 1939, and the President's Reorganization Plan No. II, provides that I shall consider the findings of the trial examiners, exceptions thereto, requests for reconsideration of findings and conclusions of the National Bituminous Coal Commission, and other motions which may be filed by the parties to the proceeding, and that I shall make final findings and conclusions and by order establish effective minimum prices.

"Some of the parties to the proceeding have indicated that they will seek to have these matters considered by the Secretary of the Interior. While I have been advised and believe that this is plainly unnecessary as a matter of law, I feel that the establishment of minimum prices is the most important activity envisaged by the Coal Act, and is so significant an undertaking as to warrant the elimination of even remote legal doubts.

"Consequently, in order to eliminate any question as to the finality of minimum prices ultimately established, I respectfully suggest that you review the proceedings and my findings, conclusions, and order in General Docket No. 15, considering the contentions of the parties.

"This review would not substantially delay the establishment of minimum prices. I always intended that an interim period should elapse between the issuance of my order and its effective date. During this interval, parties so desiring could file exceptions to my findings, conclusions and order, and briefs in support of such exceptions.

"At the same time you should also review such findings, conclusions and order as I may make, pursuant to my order of November 3, 1939,[6] in General Docket No. 12, which relates to maximum discounts by code members to 'distributors' and to the definition of 'distributors'."

The following response was received from the Secretary of the Interior:

"I have received your memorandum of December 6th.

"As you know, I have been following the proceedings at the current hearings relating to the establishment of minimum prices. I am advised and believe that the Director of the Bituminous Coal Division may lawfully determine these and other matters arising under the Coal Act. However, in order to obviate even the slight doubts mentioned in your memorandum, I shall review the proceedings in General Docket No. 15 and in General Docket No. 12, referred to by you.

"Any party aggrieved by the Director's findings and order, and desiring so to do, may file three copies of exceptions thereto within ten days after the issuance thereof. At the same time such party may file in my office three copies of supporting briefs. These exceptions and briefs may be, in whole or in part, the exceptions and briefs submitted to the Director. The ten-day time limit seems ample, since the parties will have outlined their positions twice before, once to the trial examiners and once to the Director.

"My review of your findings and order will be on the basis of my consideration of the record itself, the findings and recommendations of the trial examiners, the transcript of the oral argument before the Director, in so far as pertinent,

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[1] Cross out provision not applicable.
[2] 4 F.R. 3386 DI.
[3] 4 F.R. 4501 DI.
[4] 4 F.R. 3386 DI.
[5] 4 F.R. 2947 DI.
[6] 4 F.R. 4501 DI.

and the briefs submitted to me. To facilitate my expeditious consideration subsequent to the date of your order, I suggest that you continue to transmit to me the record and the analyses of the record prepared by the assistants to the trial examiners, and that you send me as soon as possible the findings and recommendations of the trial examiners, the exceptions, briefs and other matters filed with you, and a transcript of the oral argument before you. I understand that you will enter such orders as may be necessary to implement this procedure.

"Under my Order No. 1399, the Director of the Bituminous Coal Division will continue to exercise all other functions formerly vested in the National Bituminous Coal Commission."

Accordingly, it is ordered, That the order of July 19, 1939, be, and it is hereby, amended in accordance with the foregoing letters, and that there be added thereto clause 9 as follows:

"9. Exceptions to the findings, conclusions and order of the Director may be filed with the Secretary of the Interior, Interior Building, Washington, D. C., within ten days after the issuance of such findings, conclusions and order. Three copies of such exceptions shall be filed, together with three copies of any supporting briefs. Such exceptions and briefs may be those submitted to the Director, in whole or in part, together with any supplemental exceptions or briefs which may be desired."

Dated, December 8, 1939.

[SEAL] H. A. GRAY,
Director.

Approved, December 8, 1939.

HAROLD L. ICKES,
Secretary of the Interior.

[F. R. Doc. 39-4614; Filed, December 12, 1939; 3:00 p. m.]

CIVIL AERONAUTICS AUTHORITY.

ORDER REPEALING SPECIAL TRAFFIC RULE C.A.A. NO. 4 FOR NEW YORK WORLD'S FAIR

At a session of the Civil Aeronautics Authority held at its office in Washington, D. C., on the 12th day of December 1939.

It appearing that,

(a) The Civil Aeronautics Authority on the 18th day of April, 1939, promulgated Special Traffic Rule C.A.A. No. 4[1] to regulate, in the interest of safety, navigation of aircraft in the area surrounding the New York World's Fair;

(b) The New York World's Fair has been closed and will not be re-opened until approximately June 1, 1940;

And the Authority finding that Special Traffic Rule C.A.A. No. 4 is not necessary during the period the New York World's Fair is closed, and acting pursuant to the Civil Aeronautics Act of 1938, particularly section 205 (a) and section 601 thereof;

Now, therefore, it is ordered, That on and after the 12th day of December, 1939, Special Traffic Rule C.A.A. No. 4 is repealed.

By the Authority.

[SEAL] PAUL J. FRIZZELL,
Secretary.

[F. R. Doc. 39-4619; Filed, December 13, 1939; 10:34 a. m.]

[1] 4 F.R. 1651 DI.

FEDERAL TRADE COMMISSION.

United States of America—Before Federal State Commission

[Docket No. 3965]

IN THE MATTER OF THE SHERWIN-WILLIAMS CO., A CORPORATION, THE LOWE BROTHERS COMPANY, A CORPORATION, AND JOHN LUCAS & COMPANY, INC., A CORPORATION

COMPLAINT

Pursuant to the provisions of an Act of Congress, approved October 15, 1914, entitled "An Act to supplement existing laws against unlawful restraints and monopolies and for other purposes," commonly known as the Clayton Act (U.S.C. Title 15, Section 13), as amended by an Act of Congress, approved June 19, 1936, commonly known as the Robinson-Patman Act, the Federal Trade Commission, having reason to believe that the respondent, The Sherwin-Williams Co.; the respondent, The Lowe Brothers Company; and the respondent, John Lucas & Company, Inc., since June 19, 1936, have been and now are violating the provisions of with subsection (a) of Section 2 of said Act as amended, issues its complaint against said respondents and states its charges with respect thereto as follows, to wit:

PARAGRAPH 1. The Sherwin-Williams Co. is a corporation organized and existing under the laws of the State of Ohio and has its principal executive office and place of business at 1200 Midland Building, Cleveland, Ohio.

PAR. 2. The Lowe Brothers Company is a corporation organized and existing under the laws of the State of Ohio and has its principal executive office and place of business at 424 East 3rd Street, Dayton, Ohio.

PAR. 3. John Lucas & Company, Inc. is a corporation organized and existing under the laws of the State of Maryland and has its principal executive office and place of business at 322 Race Street, Philadelphia, Pennsylvania.

PAR. 4. *Definitions.* Except where the context requires another or different meaning, the following abbreviations and terms, for the purposes of this complaint, shall be understood to have the following meanings:

(1) The Sherwin-Williams Co. (except for the allegations contained in Paragraphs One and Five hereof) means the corporate entity by that name, acting by and through itself as an operating company and by and through its wholly owned operating subsidiaries, The Lowe Brothers Company and John Lucas & Company, Inc. and by and through its other operating subsidiaries, and in its capacity of controlling the policies and activities of itself and said subsidiaries;

(2) Sherwin-Williams means the Sherwin-Williams Co., solely in its capacity as an operating company, engaged in the manufacture, sale and distribution of paint products;

(3) Lowe Brothers means (except for the allegations contained in Paragraph Two hereof) The Lowe Brothers Company and The Sherwin-Williams Co., solely by and through its wholly owned operating subsidiary The Lowe Brothers Company;

(4) Lucas means (except for the allegations contained in Paragraph Three hereof) John Lucas & Company, Inc., as an operating company or by and through its wholly owned operating subsidiary W. W. Lawrence & Company, and The Sherwin-Williams Co., solely by and through its wholly owned operating subsidiaries, John L. Lucas & Company, Inc. and W. W. Lawrence & Company;

(5) Manufacturers means Sherwin-Williams, Lowe Brothers and Lucas;

(6) Seller means a person, partnership or corporation (other than the manufacturers or The Sherwin-Williams Co.) engaged in the manufacture, sale and distribution of paint products;

(7) Painters and Paint Contractors mean a person, partnership or corporation, engaged in the business of utilizing and applying paint products, (1) that customarily includes the paint products to be used on a painting job in estimates made to procure such job or, in the alternative, that makes arrangements with the person with whom the contract to do the paint job has been made to furnish the paint to be used on the job at a stipulated price and (2) that customarily purchases paint in quantities of four gallons or more;

(8) Maintenance Account means hotels, apartment houses, real estate corporations, insurance companies, commercial stores, industrial concerns, etc., that buy paint fairly frequently and customarily in quantities of four gallons or more;

(9) Regular Consumer means painters, paint contractors and maintenance accounts;

(10) Occasional Consumer means a person, partnership or corporation that buys paint products infrequently and customarily in very small quantities, rarely as much as four gallons;

(11) Dealer means a person, partnership or corporation that operates a retail establishment or store and is regularly engaged during customary business hours

in the sale of merchandise, including paint products, to occasional and/or regular consumers;

(12) Line Yard Lumber Company or Chain Lumber Yard means a person, partnership or corporation that operates a number of retail establishments or stores, the individual establishments or stores (hereinafter referred to as "unit stores") (1) being customarily located in different communities, towns or cities, some of said communities, towns and cities oftentimes being in different states from others of said communities, towns and cities, and (2) being regularly engaged in the sale of lumber and other merchandise, including paint products, to occasional and/or regular consumers. (Originally, the unit stores of any particular chain were located in communities, towns or cities served by one branch of one railroad, but that is not necessarily true today and may even represent the exceptional situation);

(13) Jobber or Distributor means a person, partnership or corporation engaged in the business of buying and receiving paint products from the manufacturers or sellers thereof and of selling and shipping paint products to and in servicing, billing and carrying dealer customers;

(14) Specification Paint means paint manufactured according to a special formula prepared to meet the special requirements or demands of a large consumer, customarily a governmental body, a railroad or a large industrial concern;

(15) Trade Sale Line or Trade Sale Item means standard products of the manufacturers or of other sellers, sold under trade mark bearing the name of the manufacturer or seller, including, among other products, exterior and interior house paint, roof, barn and metal paint, varnishes and lacquers;

(16) Companion Line means standard products of the manufacturers or of other sellers which are less expensive than the trade sale line products and not always sold under trade mark bearing the name of the manufacturer or seller;

(17) Allied Line means miscellaneous products such as dry colors, bronzes, linseed oil, turpentine, alcohol, lead and insecticide materials;

(18) Paint Products means trade sale line, companion line (in the case of those companies that manufacture such a line) and allied line only;

(19) General Scheme of Distribution means the general practice of the manufacturers pursuant to which they (a) sell directly to governmental bodies, railroads and large industrial consumers their requirements of paint, usually specification paint; (b) sell directly to painting contractors having large volume the requirements of such contractors of specification paint and paint products; and (c) sell paint products indirectly through dealers, chain lumber yards, distributors, retail branches, and others to the occasional and/or regular consumers of paint.

PAR. 5. The Sherwin-Williams Co. owns 100 percent of the issued and outstanding equity stock and controls the policies and activities of the following corporations:

The Lowe Brothers Company,
John Lucas & Company, Inc.,
Acme White Lead and Color Works of Hamtramck, Michigan, and
Martin Senour Company of Chicago, Illinois.

each of which is engaged in the manufacture, sale and distribution of trade sale and allied line paint products.

The Sherwin-Williams Co. owns a majority of the issued and outstanding equity stock and controls the policies and activities of the following corporation:

Detroit White Lead Works—of Hamtramck, Michigan,

which is engaged in the manufacture, sale and distribution of trade sale and allied line paint products.

John Lucas & Company, Inc., owns 100 percent of the issued and outstanding equity stock of, and The Sherwin-Williams Co., by and through said John Lucas & Company, Inc., controls the policies and activities of, the following corporation:

W. W. Lawrence & Company—of Pittsburgh, Pa.,

which is engaged in the manufacture, sale and distribution of trade sale and allied line paint products.

Acme White Lead and Color Works owns 100 percent of the issued and outstanding equity stock of, and The Sherwin-Williams Co., by and through said Acme White Lead and Color Works, controls the policies and activities of, the following corporations:

Peninsular Paint and Varnish Company—of Hamtramck, Michigan, Lincoln Paint and Color Company—of Lincoln, Nebraska.

each of which is engaged in the manufacture, sale and distribution of trade sale and allied line paint products.

PAR. 6. For many years prior to and since June 19, 1936, Sherwin-Williams has been and now is engaged in the business of manufacturing, selling and distributing (1) basic raw materials used in the production of paint, varnishes and lacquers, (2) specification paint, and (3) paint products. The paint products of Sherwin-Williams are all standardized. In the course and conduct of its business Sherwin-Williams has been and now is manufacturing said paint products principally at its factories which are located in Cleveland, Ohio; Chicago, Illinois; Newark, New Jersey; and Oakland, California. That Sherwin-Williams maintains and operates approximately forty warehouses situated in as many cities in over twenty-five states of the United States. That Sherwin-Williams, for convenience in selling and delivering its merchandise, maintains and operates district offices, sales division offices or service stations in over one-half of the cities in which its warehouses are located and, in addition, maintains and operates a sales office in Washington, D. C., where it has no warehouse. Sherwin-Williams employs several hundred salesmen who call regularly on all classes of customers. The annual net sales of Sherwin-Williams in the United States of paint products alone total approximately $17,000,000. Such products are sold and distributed through (1) over 6300 authorized dealers, a number of whom act as distributors with respect to a portion of such paint products purchased by them, (2) over 80 chain lumber yards, (3) approximately 120 wholly owned retail stores, and (4) other miscellaneous mediums.

PAR. 7. For many years prior to and since June 19, 1936, Lowe Brothers has been and now is engaged in the business of manufacturing, selling and distributing specification paint and paint products. The paint products of Lowe Brothers are all standardized. In the course and conduct of its business, Lowe Brothers has been and now is manufacturing paint products at its factory which is located at Dayton, Ohio; that Lowe Brothers maintains and operates fifteen warehouses located in the following cities: Dayton, Ohio; Chicago, Illinois; Kansas City, Missouri; Atlanta, Georgia; Boston, Massachusetts; Jersey City, New Jersey; Cleveland, Ohio; Omaha, Nebraska; Minneapolis, Minnesota; Indianapolis, Indiana; Memphis, Tennessee; Jacksonville, Florida; Fort Worth and Houston, Texas; and New Orleans, Louisiana; that Lowe Brothers, for convenience in selling and delivering its merchandise, maintains and operates district offices in the first six of the herein named cities in which its warehouses are located. Lowe Brothers employs a substantial number of salesmen, who call regularly on all classes of customers. The annual net sales of Lowe Brothers in the United States of paint products alone total over $4,000,000. Such products are sold and distributed through (1) over 1500 authorized dealers, (2) approximately 70 distributors, (3) approximately 100 chain lumber yards, (4) 11 wholly owned retail stores, and (5) other miscellaneous mediums.

PAR. 8. For many years prior to and since June 19, 1936, Lucas has been and now is engaged in the business of manufacturing, selling and distributing specification paint and paint products. The paint products of Lucas are all standardized. In the course and conduct of its business, Lucas has been and now is manufacturing said paint products at its principal manufacturing plant which is located in Gibbsboro, New Jersey; that Lucas maintains and operates eight warehouses located in Philadelphia, Pa.; Boston, Mass.; New York City; Chicago, Ill.; Albany, N. Y.; Pittsburgh, Pa.; Minneapolis, Minn.; and Wadena, Minn.;

that Lucas, for convenience in selling and delivering its merchandise, maintains and operates sales offices in the first four of the herein named cities in which its warehouses are located. Lucas employs a substantial number of salesmen who call regularly on all classes of customers. The annual net sales of Lucas in the United States of paint products alone total approximately $2,000,000. Such products are sold and distributed through (1) approximately 1500 authorized dealers, (2) approximately 100 distributors, (3) 3 chain lumber yards, (4) 10 wholly owned retail stores, and (5) other miscellaneous mediums.

PAR. 9. In the course and conduct of their respective businesses as aforesaid, the manufacturers transport or cause to be transported some of their paint products, when manufactured, from their respective factories aforesaid to their respective warehouses which are located, as hereinbefore set forth, in various states of the United States, and oftentimes in states other than the states in which their respective factories are located and in which such shipments originated, and transport or cause to be transported their paint products from their respective factories aforesaid or from their respective warehouses aforesaid to the purchasers thereof located in the several states of the United States and in the District of Columbia, other than the states in which their respective factories are located, and there is and has been, at all times herein mentioned, a continuous current of trade and commerce in said paint products between the respective factories, warehouses and distributing points of said manufacturers and purchasers from each of them located in many and, as to Sherwin-Williams, in all of the states of the United States and the District of Columbia.

The manufacturers advertise their respective paint products nationally and have created a public demand for such products throughout the states of the United States and the District of Columbia.

The manufacturers sell and distribute their respective paint products for use, consumption or resale within the United States and in the District of Columbia, in the same states and places as and in competition with various other sellers of paint products. Many of said competing sellers distribute their products nationally, as do the manufacturers, while many of said competing sellers distribute their paint products to customers located within the trading area or areas embraced within or adjacent to the trading areas in which their factories are located.

The comparable trade sale line products sold by the manufacturers are of like grade and quality. The Sherwin-Williams customers who sell at retail are occasionally competitively engaged with each other locally, are oftentimes competitively engaged locally with the Lowe Brothers and/or Lucas customers who sell at retail and are almost uniformly competitively engaged locally with the retailer customers of the competitors of The Sherwin-Williams Co., in the resale of said products, said resales taking place in every state of the United States and in the District of Columbia. That a similar situation exists as to the retailer customers of Lowe Brothers and as to the retailer customers of Lucas.

PAR. 10. That, for the purpose of selling and distributing its paint products, Sherwin-Williams has divided the territorial United States into 6 zones. For each zone, Sherwin-Williams has published the prices that are applicable from time to time, on sales of its paint products to dealers in that zone (hereinafter referred to as "dealers list prices" and whenever this term is used with respect to Sherwin-Williams, it shall be understood to refer to that one of the six different dealers list prices issued by Sherwin-Williams that shall be in effect at the time and that shall be applicable to the particular situation or situations under consideration), the differentials in prices between the zones being sufficient, as a rule, to compensate Sherwin-Williams for the differences in the average cost of freight between its factories and its warehouses in the various zones. Sherwin-Williams, as a rule, ships its paint products to its customers f. o. b. the warehouse nearest the customer. In all cases where the customer buys a carload or truckload of 20,000 pounds or more and receives shipment direct from the factory, freight is allowed.

The dealers list prices herein mentioned, so far as applicable to trade sale items, since June 19, 1936, have been subject to various discounts, depending either upon the total volume of Sherwin-Williams paint products, or certain of them, purchased by one customer during a specified period or upon the quantity purchased by one customer at and for shipment at one time.

On or about January 3, 1938, The Sherwin-Williams Co. put into effect, as to Sherwin-Williams, Lowe Brothers and Lucas, a discount plan (hereinafter refered to as the "1938 Plan") which was operative from that date until on or about September 1, 1939. The 1938 Plan, briefly described, was as follows:

To any customer who purchased in one order for shipment at one time less than 24 gallons[1] of trade sale line paint products, no discount was granted from the dealers list prices (except a 2% discount for cash); to any customer who purchased such paint products in one order for shipment at one time to an aggregate of 24 gallons or more, the following scale of discounts applied:

24 to 48 gallons: 6% off dealers list on entire order of such items.

48 to 84 gallons: 8% off dealers list on entire order of such items.

84 gallons and over: 10% off dealers list on entire order of such items.

Carloads and Truckloads (from factory): 14% off dealers list on entire order of such items.

The aforementioned discount was shown on the face of the customer's invoice and the customer was billed for the net price, after the deduction of the per order discount.

On or about September 1, 1939, The Sherwin-Williams Co. altered the 1938 Plan herein described and now employs, as to Sherwin-Williams, Lowe Brothers and Lucas, a discount plan (hereinafter referred to as the "1939 Plan"), pursuant to which discounts from dealers list prices are dependent upon the annual volume of trade sale items purchased by a customer, with one exception hereinafter noted. Under the 1939 Plan, a customer purchasing less than $500 worth of such products during a year receives a 5% discount from dealers list prices. This is tantamount, as to those customers heretofore purchasing such items in quantities of less than 24 gallons per order. To a general price reduction of 5%. A customer purchasing more than $500 worth of such products during one year receives an additional 5% discount. Such a customer pays 95% of dealers list prices, less 5% of such prices as so reduced. Such discounts are given on the face of the customer's invoice. Whether a particular customer is entitled to receive the 5% or the 5%–5% discount is determined by averaging his purchases of such items over the three-year period immediately preceding the inauguration of the 1939 Plan. A customer purchasing in carloads or truckloads and receiving shipment direct from the factory receives a further 5% discount. As to such a customer, the present base price of 95% of dealers list prices is reduced by 5% thereof and by a further 5% of the net figure thus obtained, to arrive at the net price which the carload or truckload customer pays.

That it has been and is the general policy and practice of Sherwin-Williams to sell its trade sale line paint products to its dealers and Sherwin-Williams has sold and is now selling such products to such dealers, generally at its dealers list prices, less whatever discounts may have been or may be applicable under the 1938 or the 1939 Plan.

PAR. 11. That the Lowe Brothers methods of selling and distributing its paint products, so far as concerns the establishment of zones, the publishing of its own dealers list prices for each zone, the collection of freight charges and the applicability of the 1938 and 1939 Plans to such dealers list prices, have been and are substantially the same as those of Sherwin-Williams, except that Lowe Brothers in shipping its paint products to its customers f. o. b. its warehouse nearest the customer, makes it a practice to equalize the freight charges with

[1] Products packaged and priced by the pound were calculated at the rate of 1 gallon to every 12 pounds.

the freight charges applicable from that warehouse of a seller or of another of said manufacturers which is nearest to the customer.

That it has been and is the general policy and practice of Lowe Brothers to sell its trade sale line paint products to its dealers and Lowe Brothers has sold and is now selling such products to such dealers, generally at its dealers list prices, less whatever discounts may have been or may be applicable under the 1938 or the 1939 Plan.

PAR. 12. That the Lucas methods of selling and distributing its paint products, so far as concerns the establishment of zones, the publishing of its own dealers list prices for each zone, the collection of freight charges and the applicability of the 1938 and 1939 Plans to such dealers list prices, have been and are substantially the same as those of Sherwin-Williams, with the following exceptions:

1. The territorial United States has been divided into 4 instead of 6 zones;

2. Lucas allows freight to destination. The paint products are shipped f. o. b. the warehouse, but the customer is permitted to deduct freight from the net amount of the invoice; and

3. Under a variation of the 1938 Plan applicable to Lucas, customers purchasing in carloads and truckloads of 20,000 pounds or more direct from the factory were allowed a 12% rather than a 14% discount from dealers list prices.

That it has been and is the general policy and practice of Lucas to sell its trade sale line paint products to its dealers and Lucas has sold and is now selling such products to such dealers, generally at its dealers list prices, less whatever discounts may have been or may be applicable under the 1938 or the 1939 Plan.

PAR. 13. The Sherwin-Williams Co. and each of the manufacturers, in the course and conduct of their business in commerce, has, since June 19, 1936, discriminated in the prices at which it has sold and is now discriminating in the prices at which it is selling its products of like grade and quality between different purchasers of such products by giving and allowing to some of said purchasers, either directly or indirectly, rebates or discounts from its dealers list prices which have not been given and allowed to others of its purchasers. That the manufacturers and The Sherwin-Williams Co. have effectuated the discriminations in price referred to herein in a variety of ways, some of said ways being more specifically hereinafter described.

PAR. 14. That, for the purpose of granting and allowing the quantity discounts under their respective 1938 Plans, the manufacturers, particularly Sherwin-Williams and Lowe Brothers, have permitted the main office of some chain lumber yard buyers to pool the orders of the unit stores thereof and have granted and allowed to such chain lumber yard buyers the quantity discounts applicable to the gallonage represented by the pooled orders. For example, if the pooled order has totaled over 84 gallons, each unit store through its main office has received a flat 10% off dealers list prices on its purchases of paint products, even though no one unit store may have ordered a sufficient quantity to qualify for any discount. That, with respect to other chain lumber yard buyers, the manufacturers, particularly Sherwin-Williams, have granted and allowed a flat 10% discount off dealers list prices, irrespective of the size of the order and irrespective of whether the order represented the pooled requirements of all the unit stores of the chain lumber yard or the individual requirements of only one of the unit stores thereof. That, in either case, the manufacturer granting and allowing the pooling privilege or the flat 10% discount did not customarily make shipment of the full order to the main office of the chain lumber yard, but shipped the paint products so ordered to the various unit stores thereof. That the chain lumber yards receiving the flat 10% discount from dealers list prices from one of said manufacturers were, in certain cases, in competition with other chain lumber yards which purchased either from the same or from another of said manufacturers, the latter chain lumber yards not receiving the flat 10% discount herein mentioned. That, in some cases, independent dealers who purchased trade sale line paint products from one of the manufacturers and who did not receive either the pooling privilege or any flat discount, were in competition with the unit stores of chain lumber yards which received the pooling privilege or the flat 10% discount, in some cases, from the same manufacturer and, in other cases, from another of said manufacturers.

PAR. 15. That, for the purpose of granting and allowing the quantity discounts under its 1938 Plan, Sherwin-Williams adopted the practice of accumulating the orders of some of its distributors and dealers, either for a specified period, usually a week or for a time sufficiently long to enable the particular distributor or dealer to earn the maximum quantity discount for orders of less than carload quantities, and has granted and allowed to such distributors and dealers the quantity discounts applicable to the gallonage represented by the orders so accumulated. For example, Sherwin-Williams totaled the gallonage of all orders received in a period of one week from any one of its distributors or dealers in the trading area, known as "Metropolitan New York" and granted and allowed to each such distributor and dealer on each order the quantity discount that would have been applicable, had such gallonage been covered by one order for shipment at one time. This practice usually resulted in the favored distributors and dealers receiving a flat 10% off dealers list prices, irrespective of the size of the individual orders. That, in the cases herein mentioned, Sherwin-Williams nevertheless customarily shipped or delivered to its thus favored distributors and dealers as often as it received orders from them and irrespective of the size of the individual order. That, during the period that the 1938 Plan was operative, neither Lowe Brothers nor Lucas accumulated the orders of their distributors and dealers located in Metropolitan New York or in other trading areas with respect to which Sherwin-Williams adopted this practice.

PAR. 16. That Lowe Brothers granted and allowed to some of its dealers, during the period that its 1938 Plan was in effect, so-called "carload discounts" on purchases by such dealers of relatively small per order quantities of its trade sale line paint products. For example, Lowe Brothers maintains a warehouse in the building at 2063 East 55th Street, Cleveland, Ohio, owned by The Cleveland Builders Supply Company (hereinafter referred to as "Cleveland Builders"), a corporation organized and existing under the laws of the State of Ohio and engaged in the sale and distribution of paint products. Cleveland Builders customarily withdraws its paint requirements daily from said warehouse, but occasionally orders paint products for shipment direct from the Lowe Brothers factory in Dayton, Ohio. Such daily withdrawals or such factory orders rarely, if ever, total 84 gallons and oftentimes do not total 24 gallons. Lowe Brothers nevertheless granted and allowed to said Cleveland Builders a flat 12% "carload discount" on all the latter company's purchases of trade sale line paint products. That Cleveland Builders is in competition in Cleveland and environs with other customers of Lowe Brothers and with the customers of Sherwin-Williams and Lucas and with the customers of the competitors of The Sherwin-Williams Co. in the sale and distribution of paint products.

PAR. 17.

Introductory Allegations

That, in addition to the per order quantity discounts applicable under their respective 1938 plans and generally available to all purchasers from them and the volume discounts and carload or truckload quantity discount applicable under their respective 1939 plans and generally available to all purchasers from them, the manufacturers have granted and allowed and are now granting and allowing to some of their customers, and not to others, certain functional discounts. It is the established policy and practice of the manufacturers to grant and allow functional discounts only to jobbers or distributors and to such dealers that perform the functions

of the jobber or distributor, and only in the latter cases, to the extent that such dealers perform such functions. It is not the policy or general practice of the manufacturers to grant or allow functional discounts on paint products which are resold by distributors or dealers (1) directly to regular or occasional consumers or (2) indirectly through retail branches, owned or controlled by the distributors or dealers, to regular or occasional consumers.

That Sherwin-Williams does not have any customers who operate exclusively as distributors, but does grant functional discounts to some of its dealers who perform the functions of a distributor; that such discounts vary from 5% to 12½%, although they customarily amount to 7½ and 10%. That Sherwin-Williams, as a rule, requires its dealers acting as distributors to submit statements at the end of each month showing the total sales at dealers list prices made to other dealers during the preceding month. From such total sales, Sherwin-Williams deducts the discounts that have been received by the reporting dealer with respect to the purchases which have been so resold. The applicable percentage functional discount is then applied to the net amount thus obtained to ascertain the sum due the reporting dealer as a functional discount for that month.

Lowe Brothers and Lucas allow a maximum functional discount of 15% to their distributors. In the case of dealers performing the functions of a distributor, the functional discount, as a rule, bears the same ratio to 15 as the percentage of the dealer's distributor business bears to his entire business. In either case, the functional discount is granted and allowed on the face of the invoice. In the case of Lowe Brothers, however, the functional discount is based upon the *gross* dollar value of the dealer's purchases at dealers list prices and *prior* to the deduction of quantity or volume discounts, whereas in the case of Lucas, the functional discount is based upon the *net* amount of the dealer's purchases at dealers list prices, *after* the deduction of the quantity or volume discounts.

A

That Lowe Brothers and Lucas, during the period that their respective 1938 Plans were in effect, permitted a distributor-dealer to combine in one order his purchases for resale to other dealers (on which he was paid a functional as aforesaid) and his purchases for resale at retail and granted and allowed to such distributor-dealer the quantity discount applicable to the combined gallonage. This practice enabled distributor-dealers to procure the trade sale line paint products they resold at retail at a lesser price than was paid for similar products by 100% dealers and sub-dealers of Lucas and Lowe Brothers who were in competition with the distributor-dealers in the sale of such paint products at retail.

B

That the manufacturers have granted and allowed and are now granting and allowing, in addition to quantity or volume discounts, functional discounts to some of their dealers, and not to others, on consumer business. Typical examples of this practice are the following:

(1) Lowe Brothers has granted and allowed and now grants and allows to Cleveland Builders, in addition to the so-called "carload discount" of 12% described in Paragraph Sixteen hereof, a functional discount of 15% on 50% of its purchases of trade sale line paint products from Lowe Brothers or 7½% on 100% of its purchases. That Cleveland Builders sells substantially all of the paint products it purchases from Lowe Brothers at retail to regular and occasional consumers of paint and does not sell any portion thereof to other dealers. That Cleveland Builders, in the sale of paint products at retail to regular and occasional consumers thereof, is engaged in competition in Cleveland and environs with dealers who purchase, directly or indirectly, either from Lowe Brothers or from one of the other manufacturers or from a seller, and who do not receive any functional discount.

(2) Lucas has granted and allowed and now grants and allows to Landis Spanos, an individual trading in Pittsburgh under the firm name and style of "Spanos Paint Store" (hereinafter referred to as "Spanos"), in addition to quantity or volume discounts, a functional discount of 15% on 60% of his trade sale line purchases or 9% on 100% or such purchases. That Spanos sells substantially all of the paint products he purchases from Lucas at retail to regular and occasional consumers of paint and does not sell any portion thereof to other dealers. That Spanos, in the sale of paint products at retail to regular and occasional consumers thereof, is engaged in competition in Pittsburgh and environs with dealers who purchase trade sale line paint products, directly or indirectly, either from Lucas or from one of the other manufacturers or from a seller and who do not receive any functional discount. That a substantial portion of the trade sale line paint products sold by Spanos at retail to regular and occasional consumers of paint are sold at dealers list prices, the prices that retailers in competition with said Spanos pay or would have to pay for said paint products.

(3) Lucas has granted and allowed and now grants and allows to B. Frank Shinn Paint Company, a corporation engaged in the retail distribution of paint and other products in the City of Wilmington, Delaware (hereinafter referred to as "Shinn Company"), in addition to quantity or volume discounts, a functional discount of 15% on 100% of its trade sale line purchases. That Shinn Company sells substantially all of the paint products it purchases from Lucas to regular and occasional consumers of paint and does not sell any portion thereof to other dealers. That the Shinn Company, in the sale of paint products at retail to regular and occasional consumers thereof, is engaged in competition in Wilmington, Delaware, and environs with dealers who purchase trade sale line paint products, directly or indirectly, either from Lucas or from one of the other manufacturers or from a seller, and who do not receive any functional discount.

C

That the manufacturers have granted and allowed and are now granting and allowing, in addition to quantity or volume discounts, functional discounts to some of their distributor-dealers who resell to other dealers at less than dealer list prices, irrespective of the size of the orders of said sub-dealers. A typical example of this situation is the following:

Lowe Brothers has granted and allowed, and now grants and allows to Waite Hardware Company, a corporation engaged in the wholesale and retail distribution of hardware, paint and other products in the City of Worcester, Massachusetts (hereinafter referred to as "Waite"), in addition to quantity or volume discounts, a functional discount of 15% on 86⅔% of its purchases of trade sale line paint products from Lowe Brothers or 13% on 100% of said purchases. That Waite has knowingly received and now knowingly receives the benefit of said functional discount. That Waite resells such Lowe Brothers paint products in the City of Worcester, Massachusetts, and environs, to dealers there engaged in the retail distribution of paint products, at a flat 4% discount off dealers list prices, irrespective of the size of the individual orders received by Waite from said dealers. That the dealers to whom Waite resells are competitively engaged in the sale of paint products at retail in Worcester, Massachusetts, and environs with Waite and other dealers who purchase trade sale line paint products, directly or indirectly, either from Lowe Brothers or from one of the other manufacturers and who pay dealers list prices for the paint products so purchased, without the benefit of said flat 4% discount, irrespective of the size of the order.

D

That the manufacturers have granted and allowed and are now granting and allowing, in addition to the quantity or volume discounts, functional discounts to some of their distributors who resell at less than dealers list prices, irrespective of the size of the order, (1) to dealers in which the distributor has a substantial financial interest, and (2) to dealers which own all or substantially all of the issued and outstanding stock of the distributor. Typical examples of this method of effecting price discriminations are the following:

(1) Roy Harpester is an individual residing in Newark, Ohio, and has been engaged in the retail hardware business for over seventeen years; Roy Harpester at the present time owns the following financial interests in the following partnerships, each of which is engaged in the retail hardware business, in the following cities:

Extent of interest	Name of partnership	Location
⅓	Harpester & Daugherty.	Newark, Ohio.
⅓	Harpester & Zollinger	Thornville, Ohio.
⅔	Harpester & Paulson	Mt. Vernon, Ohio.
½	Harpester & Daugherty.	Rushville, Ohio.

and, in addition thereto, said Harpester and one Helser together own over one-half of the issued and outstanding equity stock of the Martin Winter Hardware Company of Lancaster, Ohio, a corporation likewise engaged in the retail hardware business (said partnerships and said corporation being hereinafter collectively referred to as the "Harpester stores").

Early in 1938 Roy Harpester, in his individual capacity, leased a small, two-story warehouse in the City of Newark, Ohio, and shortly thereafter said Harpester as an individual and trading under the firm name and style of "Union Hardware Company" (said Roy Harpester as an individual and trading under the firm name and style of "Union Hardware Company" being hereinafter sometimes referred to as "Union Hardware") began to purchase hardware supplies and paint products direct from the manufacturers thereof at jobbers prices, all of said products being purchased for resale to the Harpester stores or for resale to other retail hardware dealers. Roy Harpester is in charge of and has control over the purchases and sales of Union Hardware and the purchases and sales of the various Harpester stores.

Early in 1938, Lucas agreed to sell its paint products to Union Hardware at jobbers prices. The Lucas price to Union Hardware for trade sale items from such date, until on or about September 1, 1939, was the dealers list, less the per order quantity discounts applicable to the varying quantities purchased, less a functional discount of 15%. From on or about September 1, 1939, to the present time, the price has been dealers list, less the various discounts applicable under the 1939 Plan, less a functional discount of 15%. That Union Hardware has knowingly received and now knowingly receives the benefit of this 15% functional discount. That Lucas salesmen solicit both the Harpester stores and the independent retail hardware dealers to whom Union Hardware sells, referring all orders to Union Hardware. That only a small portion of the space contained in the Union Hardware warehouse is devoted to the storing of the paint products procured from Lucas by Union Hardware.

Union Hardware sold and now sells Lucas trade sale line paint products to the Harpester stores and to independent retail stores at a flat 10% off dealers list prices, irrespective of the size of the individual orders received from said stores. That the bulk of the individual orders received by Union Hardware from the herein mentioned stores are for quantities of less than 24 gallons. All of said stores are in competition with dealers who purchase such paint products, customarily in quantities of less than 24 gallons per order, at dealers list prices without the benefit of the flat 10% discount, irrespective of the size of the order, either directly or indirectly, from one or more of the manufacturers.

(2) Harry Lampert is an individual residing in Lowell, Massachusetts, and has been engaged in the retail hardware business for over twelve years; Harry Lampert at the present time owns the following financial interests in, and is an officer and director of, the following corporations, each of which is engaged in the retail distribution of hardware, paint and other products, in the following cities:

Extent of interest	Name of corporation	Location
100%	Middlesex Supply Company.	104 Middlesex St., Lowell, Mass.
100%	Simmons Electric Supply Company, Inc.	112 Middlesex St., Lowell, Mass.; 534 Merrimac St., Lowell, Mass.

(said corporations being hereinafter collectively referred to as the "Lampert Owned Stores"); Harry Lampert at the present time owns the following financial interests in, and is an officer and director of the following corporations, each of which is engaged in the retail distribution of hardware, paint and other products, in the following cities:

Extent of interest	Name of corporation	Location
⅓ [1]	Haverill Hardware & Plumbing Supply Company.	Haverill, Mass.; Portsmouth, N. H.;[2] Dover, N. H.[3]
⅓ [4]	Nashua Hardware & Plumbing Supply Company.	Main Street, Nashua, N. H.
⅓ [5]	Bangor Plumbing & Supply Company.	Broad Street, Bangor, Maine.

[1] Irving Lampert, brother of Harry Lampert, is manager of the Haverill store and is the registered owner of one-third of the issued and outstanding equity stock of this corporation. Ben Gordon, brother-in-law of the Lamperts, is the registered owner of the remaining one-third issued and outstanding equity stock of this corporation.

[2] Haverill Hardware & Plumbing Supply Company trades in this community under the name of Portsmouth Hardware and Supply Company.

[3] Haverill Hardware & Plumbing Supply Company trades in this community under the name of Dover Hardware and Supply Company.

[4] Maxwell Saroken is the registered owner of one-third of the issued and outstanding equity stock of this corporation, and Myer Saroken is the registered owner of the remaining issued and outstanding equity stock of this corporation.

[5] Maxwell Saroken is the registered owner of one-third of the issued and outstanding equity stock of this corporation.

Extent of Interest	Name of corporation	Location
⅓ [6]	Gloucester Hardware & Plumbing Supply Company.	Main Street, Gloucester, Mass.
½	Lewiston Hardware and Plumbing Supply Company.	71 Lisbon St., Lewiston, Maine.
⅓	Waterville Hardware and Plumbing Supply Company.	Main Street, Waterville, Maine.
¼	Woburn Hardware and Plumbing Supply Company.	Main Street, Woburn, Mass.

[6] Maxwell Saroken is the registered owner of one-third of the issued and outstanding equity stock of this corporation.

(said corporations being hereinafter collectively referred to as the "Lampert Stores, Group A"); Harry Lampert at the present time owns the following financial interests in, and is an officer and director of, the following corporations, each of which is engaged in the retail distribution of hardware, paint and other products, in the following cities:

Extent of interest	Name of corporation	Location
⅓	New Hampshire Hardware & Plumbing Supply Company.	Elm Street, Manchester, N. H.
½	Maine Hardware & Plumbing Supply Company.	Congress St., Portland, Maine.
¼	Concord Hardware & Plumbing Supply Company.	North Main St., Concord, N. H.

(said corporations being hereinafter collectively referred to as the "Lampert Stores,[1] Group B"); Harry Lampert at the present time is an officer and director of, and may have substantial financial interests in, the following corporations, each of which is engaged in the retail distribution of hardware, paint and other products, in the following cities:

Name of Corporation	*Location*
Essex Hardware and Plumbing Supply Company.	Lawrence, Mass.
New England Pipe and Supply Company.	Charlestown, N. H.
Portsmouth Hardware Company.	Portsmouth, N. H.
Niagara Hardware and Plumbing Supply Company.	Niagara Falls, N. Y.

(said corporations being hereinafter collectively referred to as the "Lampert Stores, Group C").

The annual gross sales of hardware, paint and other merchandise of the Lampert Owned and the Lampert Stores, Groups A and B are in excess of $2,000,000, and the annual gross sales of said stores in paint products alone amount to approximately $200,000.

Early in 1937, Lampert, in his individual capacity, purchased certain improved real property located at 25 Middlesex Street, Lowell, Massachusetts, and has been since such date and is now the equitable owner of such improved

real property; the improvement on said real property consists of a four-story warehouse, the dimensions of each floor being approximately 300 feet by 60 feet.

On or about April 2, 1937, for the purpose of enabling the retail stores in which he had a financial interest to purchase their requirements at wholesale prices, Harry Lampert caused Atlantic Distributing Company (hereinafter referred to as "Atlantic") to be incorporated under the laws of the Commonwealth of Massachusetts; Harry Lampert is the Treasurer, a director and the dominating factor in said Atlantic and is the registered owner of one-third of the issued and outstanding equity stock thereof; Harry Lampert is in charge of and has control over both the purchases and sales of Atlantic and the purchases and sales of the Lampert Owned and the Lampert Stores, Group A; Max Saroken, a nephew of said Harry Lampert, is the President of Alantic and is the registered owner of one-third of the issued and outstanding equity stock of said corporation; Irving Lampert, a brother of Harry Lampert, is a clerk for Atlantic and is the registered owner of one-third of the issued and outstanding equity stock of said corporation; Harry Lampert rents the improved real property aforementioned, of which he is the equitable owner, to Atlantic at a nominal rental; that shortly after the organization of Atlantic, Atlantic began to purchase hardware supplies and paint products directly from the manufacturers thereof at jobbers prices, practically all of said products being purchased for sale through the Lampert Owned Stores of the Lampert Stores, Groups A, B and C.

On or about the time of the formation of Atlantic, Lucas agreed to sell Atlantic its paint products at jobbers prices. The Lucas price to Atlantic for trade sale items from such date, until on or about September 1, 1939, was the dealers list, less the per order quantity discounts applicable to the varying quantities purchased, less a functional discount of 15%. From on or about September 1, 1939, to the present time, the price has been dealers list, less the various discounts applicable under the 1939 Plan, less a functional discount of 15%. That Atlantic has knowingly received, and now knowingly receives, the benefit of this 15% functional discount. All of the Lampert Owned Stores and all of the Lampert Stores, Group A, handle Lucas products, and the annual gross sales of said stores of Lucas products exceed $50,000; that Lucas salesmen solicit the Lampert Owned Stores and the Lampert Stores, Group A, and otherwise aid in the sale and distribution of Lucas products to and by all of the stores in which Harry Lampert has a financial interest, referring all orders to Atlantic. That Lucas delivers a substantial portion of the products sold through the Lampert Owned Stores and the Lampert Stores, Group A, directly to said stores and grants, allows and pays with respect to said products so delivered a functional discount of 10%. That Atlantic has knowingly, and now knowingly, receives the benefit of this 10% functional discount. That Atlantic sells to only one or two stores in which Harry Lampert does not have a substantial financial interest. That approximately three-fourths of one floor of the aforementioned warehouse is utilized for the storage of paint products.

Atlantic sold and now sells Lucas trade sale line paint products to the Lampert Owned and the Lampert Stores, Group A, at a flat 10% off dealers list prices, irrespective of the size of the individual orders received from said stores. All of said stores are in competition with dealers who purchase such paint products, at dealers list prices, without the benefit of the flat 10% discount, irrespective of the size of the order, either directly or indirectly, from one or more of the manufacturers.

(3) American Hardware Supply Company (hereinafter referred to as "American"), is a corporation organized and existing under the laws of the Commonwealth of Pennsylvania, with its main office in Pittsburgh, Pennsylvania. All of the issued and outstanding stock of American is owned by approximately 190 persons, partnerships and corporations (hereinafter referred to as "owner stores"), engaged in the retail distribution of hardware and kindred supplies, including paint products. The great majority of said owner stores are located and do business in the states of Pennsylvania, Ohio, New York, Maryland and West Virginia.

American owns and operates a large warehouse, situated at 4143 Terminal Way, Pittsburgh, Pennsylvania. American purchases in its own name from numerous manufacturing concerns and other sources of supply the present and anticipated requirements of the owner stores and of other retail stores that buy from it. American's annual purchases of general hardware merchandise amount to approximately $1,200,000, and its purchases of paint products alone total over $70,000.

In 1933 Lucas agreed to sell American its paint products at jobbers prices, and since that date American has handled Lucas paint products almost exclusively. The Lucas price to American for trade sale items from on or about January 3, 1938, until on or about September 1, 1939, was the dealers list, less the per order quantity discounts applicable to the varying quantities purchased, less a functional discount of 15%. From on or about September 1, 1939, to the present time the price has been dealers list less the various discounts applicable under the 1939 Plan, less a functional discount of 15%. That American has knowingly received, and now knowingly receives, the benefit of this 15% functional discount. That Lucas salesmen solicit the owner stores and assist said owner stores in the sale of Lucas paint products. That the owner stores, with respect to approximately 50% of the paint products purchased by them from American, pick up their own purchases at American's warehouse. That Lucas delivers some of the products sold through American directly to the owner stores and grants, allows and pays with respect to said products so delivered a functional discount of 15%. That American has knowingly, and now knowingly, receives the benefit of this 15% functional discount.

American sold, and now sells, Lucas trade sale line paint products to the owner stores at a flat 10% off dealers list prices, irrespective of the size of the individual orders received from said stores. In addition thereto, the owner stores receive at the end of each year a patronage dividend varying from 4% to 7% on the net value of their purchases during the prior year from American of Lucas paint products. That the bulk of the individual orders received by American from the herein mentioned stores is for quantities of less than 24 gallons. All of said owner stores are in competition with dealers who purchase trade sale line paint products, customarily in quantities of less than 24 gallons per order, at dealers list prices without the benefit of the flat 10% discount, irrespective of the size of the order, and without the benefit of any patronage dividend, either directly or indirectly, from one or more of the manufacturers.

E

The manufacturers have granted and allowed, and now grant and allow, functional discounts to some of their distributors that are so identified, from the standpoint both of financial interest and control, with the dealers to whom they allegedly resell that, within the contemplation of the law, the distributor, in such cases, is merely an agency through which the dealers, identified with it, purchase; and the granting and allowing of the functional discount to the distributor is tantamount to the granting and allowing of such discount to the dealers to whom the paint products are allegedly resold. Typical examples of such distributors are: Union Hardware, Atlantic Distributing and American.

PAR. 18. The effect of the discriminations in price set forth in Paragraphs Thirteen to Seventeen, inclusive, hereof, may be substantially to lessen competition between The Sherwin-Williams Co., and its competitors; between the customers of a manufacturer in whose favor that manufacturer discriminates and such manufacturer's other customers; between the customers of The Sherwin-Williams Co. in whose favor such discriminations are made and the other customers of The Sherwin-Williams Co.; between the customers of The Sherwin-Williams Co. in whose favor such discriminations are made and the customers of the competitors of The Sherwin-Williams Co.; tend to create a monopoly in

The Sherwin-Williams Co. in the line of commerce in which it is engaged; to injure, destroy or prevent competition with each of the manufacturers and with The Sherwin-Williams Co.; to injure, destroy or prevent competition with customers of each of the manufacturers and with customers of The Sherwin-Williams Co. who receive the benefit of such discriminations; to injure, destroy or prevent competition with customers of persons, partnerships and corporations that have knowingly received and are now knowingly receiving the benefit of such discriminations.

Such discriminations in price by each of the manufacturers and by The Sherwin-Williams Co. between different purchasers of goods of like grade and quality in interstate commerce in the manner and form aforesaid, are in violation of the provisions of subsection (a) of Section 2 of the Act described in the preamble hereof.

Wherefore, the premises considered, the Federal Trade Commission on this 8th day of December, A. D., 1939, issues its complaint against said respondents.

NOTICE

Notice is hereby given you, The Sherwin-Williams Co., The Lowe Brothers Company and John Lucas & Company, Inc., respondents herein, that the 12th day of January, A. D. 1940, at 2 o'clock in the afternoon, is hereby fixed as the time, and the offices of the Federal Trade Commission in the City of Washington, D. C., as the place, when and where a hearing will be had on the charges set forth in this complaint, at which time and place you will have the right, under said Act, to appear and show cause why an order should not be entered by said Commission requiring you to cease and desist from the violations of the law charged in the complaint.

You are notified and required, on or before the twentieth day after service upon you of this complaint, to file with the Commission an answer to the complaint. If answer is filed and if your appearance at the place and on the date above stated be not required, due notice to that effect will be given you. The Rules of Practice adopted by the Commission with respect to answers or failure to appear or answer (Rule VII) provide as follows:

In case of desire to contest the proceeding the respondent shall, within twenty (20) days from the service of the complaint, file with the Commission an answer to the complaint. Such answer shall contain a concise statement of the facts which constitute the ground of defense. Respondent shall specifically admit or deny or explain each of the facts alleged in the complaint, unless respondent is without knowledge, in which case respondent shall so state.

* * * * *

Failure of the respondent to file answer within the time above provided and failure to appear at the time and place fixed for hearing shall be deemed to authorize the Commission, without further notice to respondent, to proceed in regular course on the charges set forth in the complaint.

If respondent desires to waive hearing on the allegations of fact set forth in the complaint and not to contest the facts, the answer may consist of a statement that respondent admits all the material allegations of fact charged in the complaint to be true. Respondent by such answer shall be deemed to have waived a hearing on the allegations of fact set forth in said complaint and to have authorized the Commission, without further evidence, or other intervening procedure, to find such facts to be true and if in the judgment of the Commission such facts admitted constitute a violation of law or laws as charged in the complaint, to make and serve findings as to the facts and an order to cease and desist from such violations. Upon application in writing made contemporaneously with the filing of such answer, the respondent, in the discretion of the Commission, may be heard on brief, in oral argument, or both, solely on the question as to whether the facts so admitted constitute the violation or violations of law charged in the complaint.

In witness whereof, the Federal Trade Commission has caused this, its complaint, to be signed by its Secretary, and its official seal to be hereto affixed, at Washington, D. C., this 8th day of December, A. D. 1939.

By the Commission.

[SEAL] OTIS B. JOHNSON,
Secretary.

[F. R. Doc. 39–4617; Filed, December 13, 1939; 10:01 a. m.]

SECURITIES AND EXCHANGE COMMISSION.

United States of America—Before the Securities and Exchange Commission

At a regular session of the Securities and Exchange Commission, held at its office in the City of Washington, D. C., on the 11th day of December, A. D. 1939.

[File No. 64–2]

IN THE MATTER OF NORTH AMERICAN GAS AND ELECTRIC COMPANY

ORDER APPROVING AMENDED APPLICATION

North American Gas and Electric Company, a registered holding company, having filed an application and amendments thereto with this Commission, pursuant to Instruction 8C of the Uniform System of Accounts for Public Utility Holding Companies, promulgated under Section 15 of the Act, requesting approval of a proposed entry to record the transfer to North American Gas and Electric Company of the assets of North American Management Company, a wholly-owned subsidiary prior to its dissolution on June 12, 1939;

Public hearing on said application as amended having been held[1] and the Commission having examined the record and made its findings herein;

It is ordered, That said application as amended be and hereby is approved.

By the Commission.

[SEAL] FRANCIS P. BRASSOR,
Secretary.

[F. R. Doc. 39–4620; Filed, December 13, 1939; 11:46 a. m.]

United States of America—Before the Securities and Exchange Commission

At a regular session of the Securities and Exchange Commission held at its office in the City of Washington, D. C., on the 13th day of December, A. D. 1939.

[File No. 51–24]

IN THE MATTER OF WASHINGTON AND SUBURBAN COMPANIES, AND THE SYCAMORE COMPANY

NOTICE OF AND ORDER FOR HEARING

A joint application pursuant to Rules U–12C–2 and U–12D–1 and pursuant to section 10 (a) (1) of the Public Utility Holding Company Act of 1935, having been duly filed with this Commission by the above-named parties;

It is ordered, That a hearing on such matter be held on December 26, 1939, at 10 o'clock in the forenoon of that day, at the Securities and Exchange Building, 1778 Pennsylvania Avenue, NW., Washington, D. C. On such day the hearing-room clerk in room 1102 will advise as to the room where such hearing will be held. At such hearing, if in respect of any declaration, cause shall be shown why such declaration shall become effective.

It is further ordered, That Willis E. Monty or any other officer or officers of the Commission designated by it for that purpose shall preside at the hearings in such matter. The officer so designated to preside at any such hearing is hereby authorized to exercise all powers granted to the Commission under section 18 (c) of said Act and to a trial examiner under the Commission's Rules of Practice to continue or postpone said hearing from time to time.

Notice of such hearing is hereby given to such declarant or applicant and to any other person whose participation in such proceeding may be in the public interest or for the protection of investors or consumers. It is requested that any person desiring to be heard or to be admitted as a party to such proceeding shall file a notice to that effect with the Commission on or before December 22, 1939.

The matter concerned herewith is in regard to the transfer by Washington and Suburban Companies of 535 shares of preferred stock of New York and Rich-

[1] 4 F.R. 4477 DI.

mond Gas Company to The Sycamore Company as a contribution to the latter's capital surplus.

The distribution by Washington and Suburban Companies on account of its 70,000 preferred shares of beneficial interest and in partial liquidation thereof of (a) 66,499 shares of common capital stock of Washington Gas Light Company and (b) said Washington and Suburban Companies' holdings of stock of The Ashwood Company, The Beechtree Company, The Birch Company, The Chestnut Company, The Elmtree Company, The Linden Company, The Mahogany Company, The Maplewood Company, The Pinewood Company, The Poplar Company and The Sycamore Company, which said holdings consist of 49 shares of stock of each of said companies other than The Ashwood Company and The Sycamore Company and 21 shares of stock of each of said two last mentioned companies.

Said application also requests an order of the Commission declaring that upon the completion of the transactions above referred to and upon the submission of evidence that The Patuxent Gas Company is no longer a public utility company, the Washington and Suburban Companies has ceased to be a holding company.

The application states that Washington and Suburban Companies requests that the Commission consider the application also as a declaration pursuant to Section 7 of the Public Utility Holding Company Act, if the Commission should deem the filing pursuant to said section necessary or advisable.

By the Commission.

[SEAL] FRANCIS P. BRASSOR,
Secretary.

[F. R. Doc. 39-4621; Filed, December 13, 1939; 12:24 p. m.]